August 18, 2025

Ambassador Jamieson Greer
Office of the United States Trade Representative
600 17th Street, NW
Washington, DC 20006

Docket No. USTR-2025-0044

Request to Appear at the Hearing on the Section 301 Investigation of Acts, Policies, and Practices of Brazil Related to Digital Trade and Electronic Payment Services; Unfair, Preferential Tariffs; Anti-Corruption Enforcement; Intellectual Property Protection; Ethanol Market Access; and Illegal Deforestation.

On behalf of the National Cattlemen's Beef Association (NCBA), I request the opportunity to appear at the hearing the Section 301 Investigation of Acts, Policies, and Practices of Brazil Related to Digital Trade and Electronic Payment Services; Unfair, Preferential Tariffs; Anti- Corruption Enforcement; Intellectual Property Protection; Ethanol Market Access; and Illegal Deforestation.

NCBA is the oldest and largest national trade association representing the interest of U.S. cattle producers. Producer-driven and directed, the testimony provided at the hearing will reflect the comments submitted on August 18, 2024, and will be based on the policy priorities of NCBA's members established through NCBA's grassroots network, representing the vast majority of the U.S. cattle and beef industry.

Brazil Has a Significant Trade Imbalance with the United States Regarding Beef Trade

Brazil is a growing supplier of lean beef trimmings to the U.S. market and in the first six months of 2025, Brazil sold $1.13 billion of beef to the U.S.— a 106% increase from 2024.[1] In the past five years Brazil has sold $4.45 billion of beef to U.S. consumers.[2] Brazil has access to the U.S. market under the "Other Country" TRQ for beef, an annual quota of 65,000 MT that it shares with countries such as Paraguay, Ireland, Japan, and the United Kingdom. In 2024, Brazil filled the annual quota on February 27, and this year Brazil filled the annual quota on January 17. Now that the quota is full, all countries trading under that quota will pay a 26.4 percent tariff for the rest of 2025. However, Brazil also faces the additional 50 percent tariff, taking its tariff rate to 76.4 percent. Unlike the other countries under the quota, Brazil's weaker currency and lower cost of production will allow Brazil to absorb the tariff and continue to export beef to the U.S. market relatively undeterred. On the other hand, Brazil has placed numerous non-tariff restrictions on U.S. beef, and we have only managed to sell $21 million to Brazilian consumers over the past five years.[3] Through June 2025, U.S. beef exports to Brazil have totaled the paltry sum of $424,654.[4]

---

[1] U.S. Department of Commerce, https://usatrade.census.gov/; HS Codes 0201, 0202, 020610, 020621, 020622, 020629, 160250; January to June 2025, compared to same time period in 2024.
[2] U.S. Department of Commerce, https://usatrade.census.gov/; HS Codes 0201, 0202, 020610, 020621, 020622, 020629, 160250; calendar years 2020-2024.
[3] *Id.*
[4] U.S. Department of Commerce, https://usatrade.census.gov/; HS Codes 0201, 0202, 020610, 020621, 020622, 020629, 160250; January to June 2025.

NCBA Strongly Supports Holding Brazil Accountable for Unfair Trade Practices

The one-sided trade between the United States and Brazil is due in part to Brazil's complex and onerous product and labeling registration requirements that have all but closed the market to U.S. beef imports. The Mercosur countries have duty-free access to Brazil,[5] and even with the temporary suspension of import tariffs on beef, the complex registration process and inconsistent testing requirements for different states across Brazil discourages Brazilian beef importers from purchasing U.S. beef. Meanwhile, Brazil has full access to a robust U.S. market with a transparent and consistent regulatory process that allows for market development and investment. NCBA encourages USTR to work with USDA to simplify the facility registration, product registration, and labeling requirements for Brazil and create a more objective and transparent set of standards for U.S. beef exports.

Brazil's Troubling Track Record for Food Safety and Animal Health

While the trade deficit should be clearly addressed, our larger concern is the questionable risk that Brazil's access poses to the health of U.S. consumers and the U.S. cattle herd. The Brazilian government has the unfortunate track record of lacking transparency and accountability with trade partners, and that has grown increasingly more evident in recent years. This is very alarming given Brazil's previous suspension for food safety violations and its history of foot-and-mouth (FMD) and atypical bovine spongiform encephalopathy (BSE).

In October 2016, Brazilian beef was granted access to the U.S. market, in what was considered a major victory for the Brazilian government. Prior to that announcement, NCBA raised major objections due to Brazil's history of food safety issues, FMD, and the highly questionable process by which Brazil was granted access including numerous violations of federal rulemaking procedures, which resulted in the publication of a GAO report calling for the establishment of objective, transparent approval processes for USDA.[6] Brazil's beef access to the U.S. market was quickly halted a few months later.

In June 2017, USDA suspended Brazilian beef imports from the U.S. market after numerous food safety violations at U.S. ports-of-entry. According to the USDA, FSIS refused entry to 11 percent of Brazilian fresh beef products. That figure was substantially higher than the rejection rate of one percent of shipments from the rest of the world. Likewise, Brazil failed to report multiple cases of atypical BSE which was not in compliance with international guidelines. Brazil has a reputation of not reporting animal health issues for weeks, months, and years, and the integrity of their central competent authority is highly questionable. No other trade partner with access to the U.S. market has exhibited such inconsistencies. NCBA repeatedly called for USDA to suspend Brazil's market access and conduct thorough audits to verify Brazil's safety standards. Brazil was never held accountable despite growing outrage from the U.S. cattle sector. Failing to hold Brazil accountable undermines the integrity of our animal health and food safety standards, and it creates a double standard for many of our trade partners who are held to a high standard by USDA.

Use Existing Authority to Suspend Beef Imports from Brazil to Provide Accountability and Transparency

NCBA greatly appreciates the tariff increase on imports from Brazil. We believe this is a good first step, but the Other Country TRQ does little to hold Brazil's beef imports in check, while it discourages imports from other trade partners like Japan, Ireland, and the United Kingdom. Tariffs alone may not be enough to hold

---

[5] USDA-Foreign Agricultural Service, "Brazil Lowers Agricultural Tariffs to Fight Inflation," Report No. BR2022-0033, 05/16/2022.
[6] "U.S. Government Accountability Office, Foot-And-Mouth Disease: USDA's Evaluations of Foreign Animal Health Systems Could Benefit from Better Guidance and Greater Transparency", Report No. GAO-17-373, 04/28/201.

Brazil accountable. We believe full suspension is necessary, and further restrictions must be applied until Brazil's claims of equivalency for food safety and animal health are confirmed. Unfortunately, the only time Brazil has shown a willingness to take U.S. standards seriously is when their market access was fully suspended for months and years at a time.

Use Existing Authorities Instead of Creating European-Style Deforestation Restrictions

The theme of supply chain accountability is one that is gaining broader support in Europe, the United Kingdom, Japan, and the United States. Some legislative proposals in Congress would extend Lacey Act measures to include imported goods from deforested lands. Put simply, cattle production in the United States does not contribute to deforestation, but the European Union and others are seeking to paint all cattle production with the same brush, and they are putting the same restrictions on U.S. beef and Brazilian beef. These restrictions are not based on science and create a dangerous precedent for increasing subjective, non-tariff trade barriers.

While some U.S. policymakers may prefer to use measures like this to restrict beef imports from other countries, it would set a dangerous precedent that may be used against U.S. beef and other U.S. agricultural commodities in the future. By simply substituting deforestation with another subjective term, U.S. cattle producers become subject to more unfair trade barriers. It is important that we commit to using objective, science-based standards at all times and avoid following the European example of subjective trade. Instead of creating additional authorities, USDA can simply enforce its existing authorities to suspend access and conduct a thorough audit of Brazil's food safety and animal health standards.

Conclusion

Brazil has enjoyed the benefits of having market access to the United States while also enjoying the benefits of its protectionist policies. We are not concerned with Brazilian imports displacing U.S. beef in the U.S. market, but we are concerned that the lack of accountability in food safety and animal health in Brazil's cattle and beef production may undermine consumer confidence in beef consumed in the United States. While tariffs are a step in the right direction, a full suspension is the only proven method to hold Brazil accountable.

I greatly appreciate your consideration of my request to appear at the public hearing on September 3, 2025.

Sincerely,

Kent Bacus
Executive Director, Government Affairs
National Cattlemen's Beef Association
ATAC for Animals & Animal Products